

Market Intelligence Review

ARMS Market Intelligence Review

Period: 2024-01-01 to 2025-12-31

Capital base: \$500,000,000

Review scope: Trading performance, market behavior, portfolio decisions, risk actions, and improvement opportunities.

Executive Assessment

ARMS delivered a strong two-year result. The portfolio compounded from \$500.0M to \$1.025B, producing a gross return of +104.90%. That exceeded SPY at +48.95%, QQQ at +55.56%, and BTC at +96.70% over the full window.

The system's best trait was adaptability. It participated aggressively in the 2024 risk-on environment, harvested upside from AI infrastructure and crypto strength, then materially reduced exposure during the 2025 drawdown cycle. The final result shows that the engine did not simply win by staying long beta. It won by combining concentrated upside capture with repeated risk contraction when portfolio stress rose.

The main opportunity is 2025 participation. ARMS protected capital well during the February-April 2025 drawdown, but after that defensive posture it lagged SPY and QQQ on the standalone 2025 year. That does not invalidate the two-year result. It suggests the system can improve how it transitions from protection back to growth after drawdown stress begins to fade.

Performance Context

- Final NAV: \$1,024,518,280
- Gross return: +104.90%
- Estimated net return: about +100.9%
- SPY return: +48.95%
- QQQ return: +55.56%
- BTC return: +96.70%
- Sharpe ratio: 1.58
- Max drawdown: -21.47%
- Total trades: 750

Year-by-year behavior:

- 2024: ARMS +81.4%, SPY +25.6%, QQQ +27.7%, BTC +107.8%
- 2025: ARMS +11.5%, SPY +18.9%, QQQ +22.0%, BTC -8.7%

The 2024 result was exceptional. ARMS captured the AI and crypto expansion phase while keeping the equity sleeve near target for much of the year. The 2025 result was more defensive: ARMS preserved much of the prior compounding, but the cost of defense was reduced upside capture during the market rebound.

Where The System Was Strong

2024 Upside Capture

The portfolio stayed meaningfully exposed during a powerful risk-on year. Equity allocation remained near the Architecture AB target for much of 2024, while crypto exposure participated in BTC's large advance. This was the correct posture for the market tape: AI infrastructure leadership, improving liquidity, resilient megacap earnings, and strong crypto momentum.

The system did not overreact to every volatility pocket. It allowed the book to compound through normal pullbacks instead of prematurely shifting to cash. That was essential to the +81.4% 2024 return.

Drawdown Response

The deepest stress period was February through April 2025. The system cut equity exposure sharply, reduced crypto to low residual levels during stress windows, and held large cash balances while the book was under pressure. At the April 2025 drawdown trough, equity was near the high teens and crypto was near 2%.

That response reduced the chance of a catastrophic giveback after a very strong 2024. The April 2025 max drawdown of -21.47% was uncomfortable, but contained relative to the portfolio's high-beta construction.

Crypto Risk Control

Crypto was handled well in the most important stress window. On 2025-10-06, ARMS sold BTC and reduced crypto exposure toward the 2% target before the Oct. 10 crash window. The signal mix showed deleveraging stress and crypto microstructure stress together, which is exactly the kind of condition where a high-beta crypto sleeve should be reduced.

That trade was one of the strongest decisions in the entire test. It protected a large gain pool and prevented the book from carrying full crypto exposure into a break in market structure.

Systematic Trimming And Income

The trade ledger shows repeated CDF and PERM activity. In market terms, this means the system was not simply holding every winner or loser at static size. It trimmed deteriorating relative performers and harvested option income when gains and volatility created favorable covered-call conditions.

That behavior improved discipline. It reduced emotional attachment to laggards and monetized part of the portfolio's high-volatility profile.

Where The System Left Money On The Table

2025 Re-Acceleration

The largest improvement opportunity is the post-drawdown recovery phase in 2025. ARMS entered March and April with heavy protection and high cash. That was reasonable while drawdown pressure was active. The harder question is whether the system stayed too defensive for too long as the market began to stabilize.

By late April and May 2025, the portfolio was recovering, but equity exposure was still materially below the long-term target for part of the rebound. ARES did re-enter through staged tranches when gates cleared, but repeated PDS stress resets interrupted the recovery ladder and kept the book defensive for longer than the market ultimately required.

Potential enhancement: after a deep drawdown, refine the recovery confirmation ladder. Once NAV stabilizes, breadth improves, and QQQ regains short-term trend, the system could reduce reset churn and allow already-approved tranches to persist unless a stronger circuit breaker fires. This could improve rebound capture without abandoning capital protection.

Single-Year Benchmark Lag In 2025

ARMS beat SPY and QQQ over the full two-year test, but in 2025 alone it trailed both. That matters because the market paid investors for staying long equities after the early-year stress. The system chose protection first, then re-entered later.

That tradeoff was not wrong, but it should be measured. A portfolio designed to protect compounding

capital can accept single-year benchmark lag if it prevents large permanent damage. The improvement target is not to remove defense. It is to reduce the opportunity cost once the market confirms the danger has passed.

Cash Drag

Cash rose above 70% during the 2025 stress period. That was useful at the trough, but expensive during the rebound. The system could consider a tactical redeployment sleeve that moves a portion of excess cash back into broad QQQ/SPY exposure before the full concentrated equity book is restored.

Potential enhancement: when single-name risk remains elevated but the broad market has stabilized, redeploy part of the cash reserve into index beta first, then rotate back into the concentrated book as conviction and breadth improve.

Market Moments Worth Highlighting

February-April 2025 Drawdown

This was the main defensive test. ARMS reduced equity and crypto exposure substantially. The drawdown still reached -21.47%, but the book avoided a deeper high-beta spiral. This period shows the risk system doing its core job: cutting exposure when portfolio stress becomes severe.

The opportunity was the exit path. The defensive entry was strong; the defensive exit can be improved.

September-October 2025 Advance And Crypto Shock

September and October 2025 were strong months for NAV, followed by a key BTC de-risk event on Oct. 6. ARMS preserved upside and avoided full crypto exposure into the Oct. 10 break. This was a high-quality sequence: participate first, then de-risk when market plumbing deteriorates.

November 2025 Pullback

November was a weaker month, with NAV down about -10.5% month-over-month. The system moved into more defensive posture again. This shows the portfolio was still sensitive to concentrated growth and crypto-related volatility late in the test. The response was appropriate, but it reinforces the need for careful re-entry rules after risk events.

What Could Improve Future Returns

1. Cleaner staged re-risking after confirmed stabilization.

The system protected well in 2025 and did restore exposure through tranches, but could improve rebound capture by reducing repeated reset cycles once objective trend, breadth, and NAV recovery gates remain intact.

2. Tactical index bridge during recovery.

When single-name risk remains high but the broad market has stabilized, partial redeployment into SPY or QQQ could reduce cash drag without immediately restoring full concentrated equity risk.

3. More nuanced crypto re-entry.

The system cut crypto well during stress. Future improvement would come from separating crypto exit signals from crypto re-entry signals, so the sleeve can recover exposure when funding, open interest, volatility, and price trend normalize.

4. Relative-strength rotation inside the equity book.

During periods where SPY or QQQ outperform the ARMS book, the system should identify whether the lag is caused by cash, weak single names, sector concentration, or delayed re-risking. The response should

differ for each cause.

5. Drawdown exit scoring.

Defensive triggers are effective. The next edge is improving the exit from defense. A dedicated recovery score could rank when to move from cash to index beta, from index beta to core winners, and from core winners back to full Architecture AB exposure.

Overall Judgment

This was a successful two-year trading result. ARMS more than doubled capital, beat major benchmarks, and showed strong risk discipline during the main 2025 stress period. The system's best decisions were staying exposed during the 2024 expansion, cutting risk during the 2025 drawdown, and reducing BTC before the Oct. 2025 crypto break.

The clearest improvement area is not protection. Protection worked. The improvement area is re-acceleration after protection. If ARMS can preserve the current drawdown controls while making the tranche recovery path less vulnerable to low-grade reset churn, the next version of this strategy could produce a smoother path and better single-year benchmark consistency.